POST HOLDINGS INC POST

July 10, 2026 - 4:47pm EST
by valueinvestor03

			2026	2027
Price:	86.30	EPS	0	0
Shares Out. (in M):	45	P/E	0	0
Market Cap (in $M):	3,910	P/FCF	0	0
Net Debt (in $M):	7,360	EBIT	0	0
TEV (in $M):	11,271	TEV/EBIT	0	0

Description

Introduction

I've written about Post Holdings previously, so this submission will not count toward my membership requirements. Nevertheless, Post remains one of my larger positions, and given the stock's recent decline I thought it would be worthwhile to revisit the investment thesis with the VIC community.

Post was last presented on VIC earlier this year as a short at approximately $99 per share. Today the stock trades around $85, its lowest level since November 2023, while short interest has climbed to roughly 15% of shares outstanding. Inflexio's write-up lays out the bear case in detail, but I believe it can be distilled into three primary arguments:

- The underlying business has little to no organic growth.
  - Organic volumes continue to decline in the legacy Post Consumer Brands ("PCB") cereal business.
  - The recently acquired Pet business has also experienced meaningful volume declines following its acquisition from J.M. Smucker in fiscal 2023.
  - Acquisitions have masked an otherwise deteriorating organic revenue base.
- Leverage remains elevated at approximately 4.5x net debt to EBITDA.
- A highly levered, acquisition-driven business model becomes significantly less attractive in an environment characterized by slower growth and higher interest rates.

These concerns are understandable and, in my view, largely explain why the stock trades at just over 7x EV/EBITDA and approximately a 15% free cash flow yield. The key question is not whether these challenges exist, but whether they are severe enough to permanently impair the equity.

Volume Declines

The central concern surrounding Post is that two of its largest businesses, ready-to-eat cereal and pet food, have experienced meaningful organic volume declines in recent quarters. Given that these businesses collectively represent a significant portion of the company's earnings, investors naturally worry that declining volumes will ultimately translate into declining EBITDA and an increasingly leveraged balance sheet. That concern is legitimate. The more important question, however, is whether these declines are structural and irreversible or simply reflect an industry working through an unusual period of disruption. I believe the evidence increasingly supports the latter.

Post Consumer Brands ("PCB") accounts for approximately half of the company's consolidated revenue and EBITDA. The segment includes the legacy Post cereal brands, MOM Brands bagged cereal, the private-label cereal business acquired from TreeHouse Foods, the Nutrish, 9Lives, and Kibbles 'n Bits pet food brands acquired from J.M. Smucker, Peter Pan peanut butter, and the largest private-label nut butter business in North America. Because management does not disclose profitability by individual product category, some estimation is required. Assuming the Pet and nut butter businesses earn EBITDA margins of roughly 12%, PCB's cereal operations likely account for approximately 35% to 36% of Post's total company EBITDA. As a result, the long-term outlook for the cereal category remains one of the most important drivers of the investment thesis.

There is little debate that cereal consumption has been declining for years, and I fully expect cereal EBITDA to gradually decline over time as well. The real question is not whether EBITDA declines, but how quickly. At today's valuation, the market appears to be discounting a far more severe outcome than I believe is likely. Over the past eight quarters, cereal volumes have declined an average of 4.7% year over year, compared with a long-term trend that was generally flat to down roughly 2% annually prior to the pandemic. During the last four reported quarters, volumes declined 5.8%, 8.1%, 5.1%, and 3.5%, while management noted that category volumes improved further in April, declining only 2.5%. The weakness since 2021 has been driven by several factors occurring simultaneously. Significant price increases across packaged foods, implemented to offset inflationary cost pressures, have weighed on consumer demand. At the same time, adoption of GLP-1 medications, reductions in SNAP benefits, and evolving consumer preferences toward higher-protein diets have all created incremental headwinds for the category. Importantly, none of these factors necessarily imply that cereal is entering a period of terminal decline. Rather, they represent an unusually difficult operating environment that has affected nearly the entire packaged food industry.

Cereal

One characteristic that distinguishes cereal from many other packaged food categories is its market structure. For more than fifty years, the industry has effectively operated as an oligopoly dominated by General Mills, Kellogg (now owned by Ferrero), and Post. Competition has historically been rational, pricing has remained disciplined, and profitability has been attractive despite modest long-term volume growth. Perhaps more importantly, the industry's largest participants have begun investing behind the category rather than managing it solely for cash flow. Following its acquisition of WK Kellogg, Ferrero has increased investment in both marketing and product innovation. General Mills has successfully launched Protein Cheerios, building the brand from essentially zero to an annualized revenue run rate exceeding $200 million. Post has introduced Protein Honey Bunches of Oats and continues expanding its protein-oriented offerings as consumer preferences evolve. Beyond traditional cereal, all three companies are investing heavily in granola, one of the fastest-growing segments within breakfast foods. Granola has benefited from strong demand in yogurt consumption, demonstrating that breakfast spending itself is not disappearing but instead shifting toward products that better align with current consumer preferences. Taken together, these initiatives suggest an industry that is adapting to changing consumer behavior. Consumer tastes will continue to evolve, but companies with decades of brand equity, extensive manufacturing infrastructure, and rational competitive behavior have consistently demonstrated an ability to evolve alongside them.

Recent volume trends also provide some reason for optimism. Although volumes remain negative, the pace of decline has moderated over the past two quarters. That improvement may reflect increasing consumer trade-down behavior as household budgets remain under pressure. Ready-to-eat cereal remains one of the least expensive breakfast options available in the United States. Even branded cereal with milk costs under fifty cents per serving, making it an attractive value proposition during periods of persistent inflation.

Finally, while cost reductions cannot create growth, they can meaningfully protect profitability. Post recently announced the closure of two cereal manufacturing facilities, a move expected to generate approximately $22 million of annual savings beginning in the second half of 2026. Similar capacity rationalization efforts are underway across the industry. No company can cut its way to prosperity. However, in an industry characterized by rational competition, high utilization, and attractive margins, manufacturers possess meaningful flexibility to offset a portion of ongoing volume declines through productivity improvements and manufacturing efficiencies. As a result, I believe cereal EBITDA is likely to prove considerably more resilient than current market expectations imply.

Pet

The Pet business has also been a meaningful source of investor concern, as volumes have deteriorated sharply over the past eighteen months. Unlike the cereal business, however, I believe much of this weakness has been self-inflicted and therefore considerably more reversible. While there are certainly competitive pressures within the category, the vast majority of the disruption appears to stem from a series of operational decisions and integration-related issues that occurred shortly after Post acquired the business from J.M. Smucker in fiscal 2023. Over the past six quarters, management attempted to execute several significant changes simultaneously.

In fiscal first quarter 2025, Post exited several lower-margin co-manufacturing contracts and discontinued several low-margin products while simultaneously launching a comprehensive relaunch of the Nutrish brand. During the second quarter, the company completed its transition away from Smucker's TSA, migrated the business onto Post's ERP system, and lost several private-label customers.

The problems intensified during the second half of the fiscal year. Management acknowledged that the initial Nutrish relaunch had not resonated with consumers, requiring a significant course correction. At the same time, pricing actions on Gravy Train generated greater-than-expected consumer elasticity, ultimately forcing the company to reverse portions of those increases.

By the fourth quarter, management openly conceded that the Nutrish relaunch had failed. Rather than continue investing behind an unsuccessful strategy, the company elected to return to packaging that more closely resembled the legacy design while refining the brand's positioning and pricing architecture.

These decisions created a particularly difficult comparison entering fiscal 2026. Retailers understandably reduced purchases of the legacy Nutrish product while waiting for the updated packaging and product positioning to reach shelves. As a result, reported volumes declined 6% in the first fiscal quarter and 14% in the second quarter, reflecting both weak underlying demand and temporary inventory dynamics associated with the relaunch. Importantly, management believes the operational disruptions are now largely behind the company. The Nutrish rollout is expected to be substantially complete during the third fiscal quarter, while the headwind from previously lost private-label business should also begin to annualize. Early read-through from April has been encouraging, with management indicating that weekly sales trends improved throughout the month as the updated products reached retailers.

The upcoming third-quarter results will therefore represent an important inflection point for the investment thesis. If management's expectations prove correct, the company should exit fiscal 2026 with pet volumes approximately flat to modestly positive, marking a significant improvement from the declines experienced over the past eighteen months. Whether that recovery ultimately materializes remains to be seen. However, much of what has occurred over the past year has been the result of integration activities, merchandising disruptions, pricing missteps, and an unsuccessful brand relaunch—events that are largely temporary in nature. If those issues normalize as management expects, the Pet segment could transition from being a significant headwind to a modest contributor to consolidated earnings growth over the next several years.

Why Own It?

Insider Ownership Creates Exceptional Alignment

One of the most attractive aspects of the story is the extraordinary degree of insider ownership. Management and directors collectively own just under seven million shares, representing approximately 15.4% of the company. That ownership is concentrated primarily in Bill Stiritz, who owns approximately 4.9 million shares worth roughly $415 million, and CEO Rob Vitale, who owns approximately 1.17 million shares valued at about $100 million. Stiritz and Vitale spend the past 14 years building Post into its current form and Stiritz only recently transitioned from Chairman of the Board. Vitale, who has led the company operationally, will assume the role of Executive Chairman at the end of the current fiscal year. Together, they have an enormous amount of personal capital invested alongside shareholders. While insider ownership alone is never an investment thesis, it significantly strengthens the credibility of management's capital allocation decisions. Every dollar deployed affects their own wealth in a meaningful way.

The Business Generates Extraordinary Cash Flow

Despite investor concerns surrounding organic growth, Post remains an exceptionally strong cash-generating business. The company generated approximately $502 million of free cash flow in fiscal 2024 and $488 million in fiscal 2025. The modest decline was almost entirely attributable to elevated capital expenditures rather than weaker operating performance. During this period, Post invested heavily in several large projects, including cereal and pet manufacturing optimization initiatives, completion of its ready-to-drink protein shake manufacturing facility, and expansion of its Foodservice pre-cooked egg facility. As these projects are completed, capital expenditures normalize and the company continues to benefit from favorable tax attributes, I expect free cash flow to exceed $600 million during fiscal 2026 and approach, or potentially exceed, $650 million in fiscal 2027.

Leverage Appears Far More Manageable Than the Market Believes

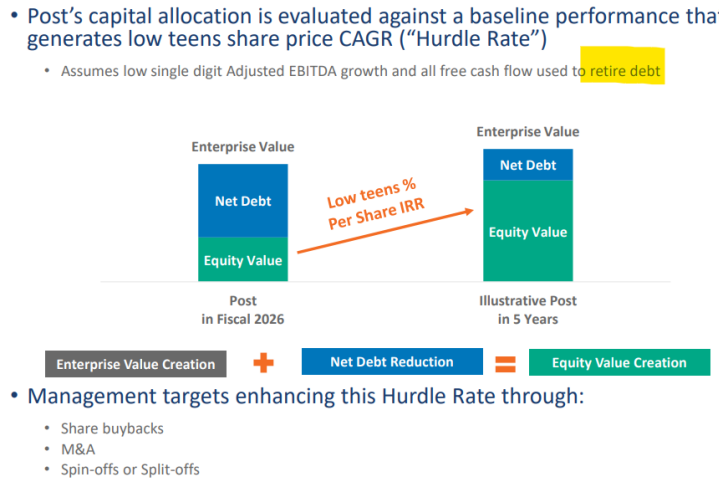
The primary issue to owning Post is leverage. At roughly 4.5x net debt to EBITDA, leverage is elevated. However, the maturity schedule and the company's cash-generating ability are equally important, and both are favorable.

Post has only one meaningful maturity before fiscal 2030: approximately $575 million due in fiscal 2027. After that, maturities are well staggered through 2036, providing substantial financial flexibility. Even the company's long-dated notes continue to trade at yields that suggest the credit market views the balance sheet as manageable rather than distressed. This maturity profile gives management considerable optionality.

If the company elected to prioritize deleveraging, it could comfortably retire the 2027 maturity entirely from internally generated free cash flow while simultaneously accumulating cash toward the 2030 maturity. Even assuming EBITDA were to decline by approximately 1%

annually, leverage would likely fall below 3x by the beginning of the next decade simply through debt repayment and ongoing cash generation. Lower interest expense would further increase future free cash flow, accelerating the deleveraging process. Also, if Post's bonds were to trade materially below par, repurchasing debt could generate attractive risk-adjusted returns while simultaneously reducing leverage. The company pursued this strategy opportunistically after interest rates rose sharply in 2022, demonstrating a willingness to allocate capital wherever expected returns are highest.

It's also important to understand the management team understand the benefit of reducing leverage. Post included the following slide in its Q2 investor presentation signaling its use of debt repayment as hurdle return as the basis for capital allocation decisions.



Management Is Sending an Unusually Strong Signal

Despite having the ability to accelerate deleveraging, management has instead dramatically increased the pace of share repurchases. Through May 5 of fiscal 2026, just over seven months into the fiscal year, Post repurchased approximately 8.1 million shares for roughly $820 million, reducing shares outstanding by approximately 14%. Those repurchases were funded through a combination of free cash flow, proceeds from the $375 million sale of the pasta business completed last year, and existing cash balances. Following those purchases, the Board authorized an additional $600 million repurchase program, suggesting management intends to remain aggressive while the shares trade at current valuations. Based on existing authorization levels, the company is likely to retire more than 20% of its outstanding shares during the current fiscal year.

While Post has repurchased stock consistently since 2017, reducing total shares outstanding by approximately 43% over that period, it has historically been highly valuation-sensitive. There have been periods when the company repurchased virtually no stock, and others when it became more aggressive. The pace witnessed over the past several quarters is unprecedented outside of the brief period during the market dislocation in 2020.

At today's market capitalization of roughly $3.9 billion, Post's free cash flow generation alone is sufficient to retire approximately 15% of the company's shares annually if management chose to devote all excess cash to repurchases. To appreciate the scale of that opportunity, consider the current ownership structure. Insiders already own roughly seven million shares, leaving a public float of approximately 38 million shares. At the current pace of free cash flow generation, the company could theoretically retire essentially the entire public float in roughly five and a half years. I am not suggesting that this is likely. Rather, the exercise illustrates just how inexpensive the equity has become relative to the cash the business generates.

Conclusion

I have learned through experience that investment theses built primarily around financial engineering rarely produce attractive long-term outcomes. Ultimately, this investment will only work if the underlying business continues to generate sufficient cash flow to service its debt, reinvest where appropriate, and compound value for equity holders. At approximately 7x EV/EBITDA and a free cash flow yield of roughly 15%, investors appear to be pricing the business as though EBITDA is destined for a prolonged structural decline. I believe that view is overly pessimistic.

The cereal business will almost certainly become smaller over time. However, it operates within a rational oligopoly where pricing discipline remains strong, competitors are starting to invest in innovation, and manufacturers retain meaningful opportunities to offset volume declines through productivity improvements. Meanwhile, the recent weakness in Pet appears driven far more by integration challenges, merchandising disruptions, pricing missteps, and an unsuccessful brand relaunch than by permanent impairment of the underlying franchise. If those issues normalize over the next several quarters, Pet could transition from being a significant earnings headwind to a modest contributor to growth.

The remainder of the portfolio provides an important offset. Foodservice continues to benefit from favorable long-term demand for value-added egg products. Refrigerated Retail remains a stable cash-generating business with modest growth characteristics. Weetabix is stable and will improve margins due to productivity gains. Taken together, I believe these businesses can largely offset gradual declines in cereal, allowing consolidated EBITDA to remain relatively stable over time.

What makes the opportunity particularly compelling is management's response to the current valuation. The company has generated substantial free cash flow, sold a non-core business for approximately $375 million, and possesses a debt maturity schedule that would readily allow it to accelerate deleveraging. Instead, management has chosen to repurchase more than $800 million of stock year-to-date, retiring over 14% of the share count. Given management's experience and ownership, it is unfathomable to me that management believes there is even a remote possibility that the company is structurally impaired. However, I know that management teams are not infallible. There are many examples of highly aligned executives who have made poor capital allocation decisions, and insider ownership alone is never sufficient reason to own a stock (i.e. Charter/Liberty). Nevertheless, it is difficult to ignore the signal being sent when executives with hundreds of millions of dollars invested alongside shareholders choose to allocate virtually every available dollar toward repurchasing stock rather than reducing leverage.

Ultimately, I believe the market is extrapolating today's operational challenges too far into the future. If consolidated EBITDA merely proves stable, not even growing meaningfully, the combination of a 15% free cash flow yield, aggressive share repurchases, declining share count, and meaningful operating leverage could produce exceptionally attractive equity returns over the next several years. The thesis does not require heroic assumptions or even a multiple re-rating. It simply requires that the business prove more durable than the market currently believes.

I recognize that this write-up focuses primarily on the high-level investment case rather than the detailed financial model. I'm happy to discuss the model, individual business segments, valuation assumptions, or any aspect of the thesis further in the comments.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Ongoing share repurchases

Improvements in cereal and pet when Q3 results are announced

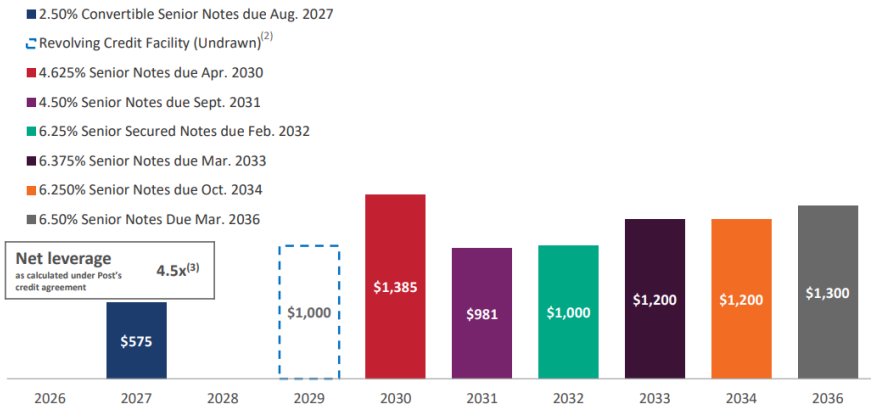
Messages

Subject capital allocation strate
Entry 07/12/2026 04:37 PM
Member seb1991

i am new to this name but why is Mgmt not prioritizing debt reduction *today?* I understand that fcf generation is decent yet it still pays out ~$400m cash interest p.a. out of its "Post Estimated Consolidated Adj EBITDA" of $1.5bn. the fcf cushion looks fine but with cereal in a slow secular decline (largest segment, ~35% of sales) it furthers pressures ebitda (and subsequently fcf) narrowing the fcf cushion?

what gives you comfort that Mgmt wont pursue another large debt funded M&A?

in my prior private equity life, I have seen this setup in the food sector so many times (declining rev, highly levered) and unf lot of these investments ended up badly.



Subject Re: capital allocation strate
Entry 07/12/2026 11:10 PM
Member erst1071

Free cash flow after taxes per share is what matters… why would you want mgmt to retire debt at 4% cost after taxes, when it can repurchase shares at 15% yield?

One must have a very negative view on the growth to expect retiring debt is the best use of excess capital

Subject Re: Re: capital allocation strate
Entry 07/13/2026 04:29 AM
Member seb1991

erst1071-

Not sure what "FCF after taxes" means because every FCF calculation (LFCF, ULFCF) include taxes. I am looking at a company that has $7.6bn gross debt (+$1bn undrawn RCF) vs ~$4bn MCAP. Based on Mgmt's FCF slide (see below): PF Cons Adj. EBITDA $1.5bn -$400m cash interest - $370m capex - $70m tax = $700m FCF [-> Mgmt forgot to include WC in its calculation?]

In other words, 1/3 goes out for interest payments. We can now all quote MM II Theory that a company should max debt for tax shield purposes but the reality is often very different, esp. if this industry is characterized by low organic growth (structural decline in certain sub-segments), competitive, time lag in passing through raw materials. The only way to grow is through M&A but how much room is there left if net debt is 4.5x? How far can you push it? Quoting MM II isnt really a margin of safety to me.

So my question is, why is Mgmt not de-risking its B/S first and foremost, also in light of volume decline cereal and pet food? What gives you comfort that we are not ending in a downward spiral if the volume trend continues?

Illustrative Free Cash Flow Calculation

($ in millions)	
Post Fiscal Year 2026 Adjusted EBITDA Outlook[2]	$1,565
8th Avenue Synergies[3]	15
Foodservice Normalization[4]	(45)
Post Estimated Consolidated Adjusted EBITDA	**$1,535**
Less: Cash Interest[5]	(397)
Less: Estimated Capital Expenditures	(370)
Less: Estimated Cash Taxes[6]	(70)
Illustrative FCF	**$698**
FCF as % of estimated consolidated Adjusted EBITDA	*45.5%*

Subject Re: capital allocation strate
Entry 07/13/2026 11:19 AM
Member valueinvestor03

seb, you are asking the key question. I think it is highly unlikely the management team will purse M&A at this point. I've owned this stock since 2013 and watched Bill Stiritz and Rob Vitale build it through M&A since it was spun out of Ralcorp. However, the multiple has never been as low as it is now. Management has never acquired just for the sake of growth and it's difficult to see any M&A opportunity being superior to shrinking the equity.

With over $1 billion of cash flowing into the business this fiscal year (including the pasta divestiture), 4.5x leverage, cereal declining, and a risk-free return from delevering, paying down debt would be the obvious capital allocation decision if management though EBITDA was about to roll over. I don't know exactly what management is thinking, but given the aggressiveness of the repurchase, they clearly feel like that is the best use of capital and they are essentially telling the market that the cash flows are more sustainable than believed. These guys have been at this for a long time and have a good track record and $600 million of their own capital at risk.

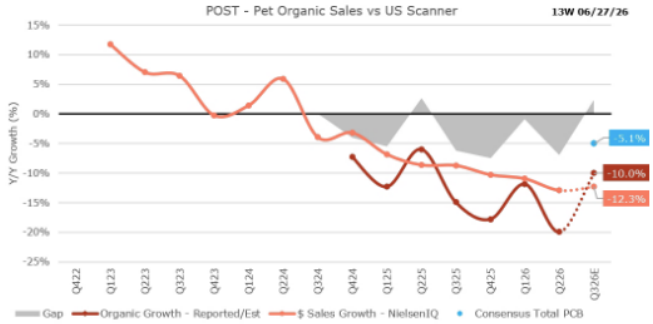
Subject Re: Re: capital allocation strate
Entry 07/13/2026 02:19 PM
Member seb1991

thanks

Subject Pet Food Scanner Data
Entry 07/13/2026 04:00 PM
Member GLSV

The data has not been improving much if at all here. The self-inflicted issue is true, but timing was bad. Category read throughs from GIS, FRPT, and TSCO are all equally negative.

Exhibit 237 - POST Pet Post Consumer Brands historical trends



Source: Company reports, NielsenIQ, VisibleAlpha consensus, and Wells Fargo Securities, LLC estimates

---

Subject truly a value investment
Entry 07/13/2026 09:04 PM
Member surf1680

Not enough ratings?!? Yet the bitcoin, AI, baloney pipe dream discussions run rampant. How can you look yourself in the mirror? What have you become!?

Subject Buyback vs dividend
Entry 08/08/2026 12:19 AM
Member erst1071

Post reported a small beat today, and guidance for rest of the year and 2027 is decent compared to consensus, stock still down 12%.

Management highlighted that going forward they will prioritize debt repayments more over buybacks. What is your take on this? A bit strange to repurchase 14% of outstanding shares YTD, and so suddenly switch to debt repayments..

Subject Re: Buyback vs dividend
Entry 08/08/2026 01:10 PM
Member valueinvestor03

I thought the stock price move was an overreaction. They have a $575 million convertible maturing next August which I've assumed they would pay off, so I don't think this is a huge strategic change. I'm assuming it's as simple as they are going to pay off a convertible with a 2.5% coupon rather than refinancing it because rates have gone up and it would be detrimental to free cash flow to refinance it at 7%. They will generate more than $575 million in free cash flow over the next 12 months with which to repay the convertible and then they have no other debt maturing until $1.385 billion in 4.625% notes mature in the spring of 2030. Between now and then I'd expect them to both retire debt and buyback stock to keep leverage manageable and free cash flow stable or growing while continuing to shrink the equity at a very high free cash flow yield. Post could pay down $2 billion in debt from 2027 through 2029 if it wanted to. Given the fact that their EBITDA likely won't grow much off of the $1.48 billion base and we are potentially in a higher rate environment, it makes sense to include debt repayment as a greater focus in the capital allocation decision. They've bought back debt before in 2022 at discounts to par.